

Dr. Deepika Bhaskar
Registrar

Dated: 03rd October, 2024

IIIT-Delhi/Office Orders/2024/-1895

Office Order

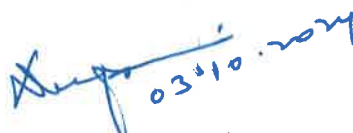
No: 148/2024

Subject: Assets Write-off Policy of the Institute

The Board of Governors, in its 66th meeting held on Sept 4, 2024, had approved the Assets Write-Off policy of the Institute to process the write-off of Fixed Assets and Limited Time Assets of the Institute as well as Assets of Sponsored Research Projects.

A copy of the Assets Write-Off policy of the Institute, as approved by the BOG, is attached herewith as Appendix-Write off.

This is issued with the approval of the Competent Authority.


(Dr. Deepika Bhaskar)
Registrar

Copy for kind information/necessary action (via email)

1. All Faculty, Staff
2. Store & Purchase Division
3. IRD Division
4. F&A Division
5. Concerned File
6. Director's Office, *for information to the Director*
7. Website, IIIT-Delhi

Indraprastha Institute of Information Technology, Delhi



Assets Write-Off Policy- 2024

Asset Write-off policy of the Institute

This revised Asset Write-off policy of the Institute provides guidelines for the write-off of assets of Institute as well as of sponsored research projects.

Classification of Equipment/ Assets

The Equipment/ assets of the Institute will be classified into two categories:

- Fixed Asset Stores (FAS)
- Limited Time Asset Stores (LTAS)

Fixed Asset Stores (FAS)

Stores satisfying any one of the following conditions shall be classified as Fixed Asset major assets.

- i) Stores, which are intended to be used over, prolonged periods (at least 5 years) before becoming unusable and/or obsolete.
- ii) Any other asset, which is classified as FAS by the Write-off Committee constituted for this purpose.

Examples: Mainframe computers/servers, Research equipment, Networking Devices, Plant & machinery etc.

Limited Time Asset Stores (LTAS)

Stores may be classified Limited Time Asset Stores for the items with a life of 5 years. After this lifetime, they can be considered to be obsolete and the store can proceed to write-off as per the processes defined.

Examples: Computer Accessories, Mobile phones, Desktops, Laptops, Tablets Multimedia projectors, Inkjet/ laser printers, CCTV cameras, etc.

Assets Write-Off Policy

An item may be declared surplus or obsolete or unserviceable, if the same is of no use to the Sponsored Research Project or the Institute or when the item is beyond economical repair/has outlived its life, etc. An item may be rendered surplus, obsolete or unserviceable in the process of upgrading or replacing. Under such circumstances the property and equipment be written-off in the best interest of the Sponsor/Institute as per the following guidelines on the recommendation of the committee and further approval of the Competent authority.

Guidelines for Write-Off of Fixed Assets of Externally Funded Project

1. The equipment/asset can be written-off only after the completion of the project.
2. At the time of closure of the project, PI will submit Project Closure Report (PCR) and the Asset Retention letter to the funding agency in the format given by the IRD office. IRD will check and transfer all the assets to the Institute at the time of closure of the project.
3. The amount of disposal may be the Written Down Value (WDV)/Residual Value as per the depreciation rates of the Institute, or the Fair Market Value, whichever is higher. The Fair Market Value shall be assessed based upon the condition, date of purchase,

technological advancement, etc., of the asset. The same will be assessed based upon the open market disposal value will be written-off after disposal through public auction, buy back or advertised tender as per GFR norms.

4. The amount so realized may be deposited with the Institute. If requested by the sponsor, then this money may be returned to the sponsor, or as decided by the Institute.
5. The asset will be disposed-off as per disposal norms of the Institute.

Guidelines for Write-Off of Institute Funded Fixed Assets

1. A request by the user may be requested after completion of life of the assets for write-off of the Assets. The Stores can also initiate the process of write-off for assets not being utilized at the Institute or those which have become surplus or obsolete or unserviceable.
2. The amount of disposal may be the Written Down Value (WDV)/Residual Value as per the depreciation rates of the Institute, or the Fair Market Value (as described above), whichever is higher.
3. The asset will be disposed-off as per disposal norms of the Institute.

General Procedure for writing-off the Fixed Assets

1. The item to be declared obsolete/ surplus/ unserviceable may be disposed-off on the recommendation of the Write-Off Committee.
2. Where the "life-period" has been prescribed on any item and the same is already over, it should normally be taken as enough ground for declaring the item obsolete and unserviceable. Normal life of LTAS items will be five years.
3. In other cases, where the life period is not over or no life period has been prescribed or stipulated, the reason for declaring the item unserviceable should be clearly recorded such as, may be normal wear and tear, excessive use in public interest, accidental fire, flood or other natural causes, damage due to insects, rats etc.
4. An item may be declared obsolete/ surplus if it is no longer required by the Institute. Reasons for the same should be recorded by the employee on whose name the asset is mentioned as per Institute records.
5. The Write-Off Committee shall submit its recommendations in the form of a Report.
6. Actual physical disposal of items which have been written-off will be done only after the Competent Authority has approved the recommendations of the Committee.

General Procedure for writing-off the Limited Time Asset Stores

- i) The Store & Purchase department may be informed by individual faculty, staff, Departments, Centers etc. about unserviceable/ obsolete items at the end of the 5-year period after purchase. If any item becomes unserviceable/ obsolete before 5 years, the Store & Purchase department may recommend the same to the Write-off Committee.
- ii) Limited time assets purchased from a sponsored research project and transferred to the Institute after completion of the project may also be considered for write off if the asset has not been issued.

- iii) The LTAS will be written-off after disposal through public auction, Purchase at depreciation & buy back or advertised tender as per GFR norms.
- iv) For open/public auction, periodically (once in three months), the list of all such Limited Time Assets shall be uploaded on the Institute website along with a google form link for recording the response of interested buyers along with a timeline.
- v) After the response of interested buyers is received for the limited assets being disposed of, the auction method will be adopted for disposal of items after receipt of highest value.

Write-off Committee

The Write-off Committee shall examine the requests received and shall recommend the FAS/LTAS items which are actually unserviceable /beyond economic repair/beyond local repair/have completed their prescribed life span, to be considered for writing off, by the Competent authority. The Write-off Committee may delete those items, which in its opinion, are serviceable or are not beyond local/ economic repair.

The composition of the Write-off Committee shall be as under:

1. Dean, IRD or nominee- Chair
2. Registrar
3. Controller of Finance (CoF)
4. Administrative Officer Store / Administrative Officer IRD- Convener
5. Any custodian of asset may be called as Special Invitee, if required.

The recommendations of the Write-off Committee are to be considered by the Competent Authority for Write-off as under:

Competent Authority	Depreciated Value of Asset (Rs)
Director	Up to 5,00,000/-
Board of Governors	Above 5,00,000/-

Writing-off Assets following Abnormal Loss/ Theft/Negligence/Fraud/Mischief

In line with the provisions of the General Financial Rules, Govt. of India

- i) Any loss/ theft should be immediately reported to DIRD for project assets, and Registrar for the Institute's assets.
- ii) A report needs to be filed to the police for investigation by the custodian of the equipment.
- iii) In case of theft outside Delhi, the PI or a custodian of the equipment can directly lodge a complaint with Police and submit the copy to DIRD/Registrar, as applicable.
- iv) In case an item becomes unserviceable due to negligence, fraud or mischief on the part of any employee, responsibility for the same should be fixed.
- v) After 90 days, if the item is still not recovered a case may be submitted to the Director for writing-off the loss within the delegated power, as above.

RELEVANT GENERAL FINANCIAL RULES FOR DISPOSAL/WRITE-OFF

Rule 217 Disposal of Goods.

- (i) An item may be declared surplus or obsolete or unserviceable if the same is of no use to the Ministry or Department. The reasons for declaring the item surplus or obsolete or unserviceable should be recorded by the authority competent to purchase the item.
- (ii) The competent authority may, at his discretion, constitute a committee at appropriate level to declare item(s) as surplus or obsolete or unserviceable.
- (iii) The book value, guiding price and reserved price, which will be required while disposing of the surplus goods, should also be worked out. In case where it is not possible to work out the book value, the original purchase price of the goods in question may be utilised. A report of stores for disposal shall be prepared in Form GFR-10.
- (iv) In case an item becomes unserviceable due to negligence, fraud or mischief on the part of a Government Servant, responsibility for the same should be fixed.
- (v) **Sale of Hazardous waste/Scrap Batteries/Electronic waste:** Scrap lots comprising of hazardous waste, batteries etc. shall be sold keeping in view the extant guidelines of Ministry of Environment & Forest. Prospective bidders of such lots of hazardous waste/scrap batteries/ e-waste should be in possession of registration, valid on the date of e-Auction and on the date of delivery, as recycler/ preprocessor agency.

Rule 218 Modes of Disposal.

- (i) Surplus or obsolete or unserviceable goods of assessed residual value above Rupees Two Lakh should be disposed of by:
 - (a) obtaining bids through advertised tender or
 - (b) public auction. For surplus or obsolete or unserviceable goods with residual value less than Rupees Two Lakh, the mode of disposal will be determined by the competent authority, keeping in view the necessity to avoid accumulation of such goods and consequential blockage of space and, also, deterioration in value of goods to be disposed of. Ministries/ Departments should, as far as possible prepare a list of such goods.
- (ii) Certain surplus or obsolete or unserviceable goods such as expired medicines, food grain, ammunition etc., which are hazardous or unfit for human consumption, should be disposed of or destroyed immediately by adopting suitable mode so as to avoid any health hazard and/or environmental pollution and also the possibility of misuse of such goods.
- (iii) Surplus or obsolete or unserviceable goods, equipment and documents, which involve security concerns (e.g. currency, negotiable instruments, receipt books, stamps, security press etc.) should be disposed of/ destroyed in an appropriate manner to ensure compliance with rules relating to official secrets as well as financial prudence.

Rule 219 Disposal through Advertised Tender.

- (i) The broad steps to be adopted for this purpose are as follows
 - (a) Preparation of bidding documents.
 - (b) Invitation of tender for the surplus goods to be sold.
 - (c) Opening of bids.
 - (d) Analysis and evaluation of bids received.
 - (e) Selection of highest responsive bidder.
 - (f) Collection of sale value from the selected bidder.
 - (g) Issue of sale release order to the selected bidder.

- (h) Release of the sold surplus goods to the selected bidder.
 - (i) Return of bid security to the unsuccessful bidders.
- (ii) The important aspects to be kept in view while disposing the goods through advertised tender are as under:
- (a) The basic principle for sale of such goods through advertised tender is ensuring transparency, competition, fairness and elimination of discretion. Wide publicity should be ensured of the sale plan and the goods to be sold. All the required terms and conditions of sale are to be incorporated in the bidding document comprehensively in plain and simple language. Applicability of taxes, as relevant, should be clearly stated in the document.
 - (b) The bidding document should also indicate the location and present condition of the goods to be sold so that the bidders can inspect the goods before bidding.
 - (c) The bidders should be asked to furnish bid security along with their bids. The amount of bid security should ordinarily be ten per cent. of the assessed or reserved price of the goods. The exact bid security amount should be indicated in the bidding document.
 - (d) The bid of the highest acceptable responsive bidder should normally be accepted. However, if the price offered by that bidder is not acceptable, negotiation may be held only with that bidder. In case such negotiation does not provide the desired result, the reasonable or acceptable price may be counter offered to the next highest responsive bidder(s).
 - (e) In case the total quantity to be disposed of cannot be taken up by the highest acceptable bidder, the remaining quantity may be offered to the next higher bidder(s) at the price offered by the highest acceptable bidder.
 - (f) Full payment, i.e. the residual amount after adjusting the bid security should be obtained from the successful bidder before releasing the goods.
 - (g) In case the selected bidder does not show interest in lifting the goods, the bid security should be forfeited and other actions initiated including re-sale of the goods in question at the risk and cost of the defaulter, after obtaining legal advice.
- (iii) Late bids i.e. bids received after the specified date and time of receipt should not be considered.

Rule 220 Disposal through Auction.

1. A Ministry or Department may undertake auction of goods to be disposed off either directly or through approved auctioneers.
2. The basic principles to be followed here are similar to those applicable for disposal through advertised tender so as to ensure transparency, competition, fairness and elimination of discretion. The auction plan including details of the goods to be auctioned and their location, applicable terms and conditions of the sale etc. should be given wide publicity in the same manner as is done in case of advertised tender.
3. While starting the auction process, the condition and location of the goods to be auctioned, applicable terms and conditions of sale etc., (as already indicated earlier while giving wide publicity for the same), should be announced again for the benefit of the assembled bidders.

4. During the auction process, acceptance or rejection of a bid should be announced immediately on the stroke of the hammer. If a bid is accepted, earnest money (not less than twenty-five per cent. of the bid value) should immediately be taken on the spot from the successful bidder either in cash or in the form of Deposit-at-Call- Receipt (DACR), drawn in favour of the Ministry or Department selling the goods. The goods should be handed over to the successful bidder only after receiving the balance payment.
5. The composition of the auction team will be decided by the competent authority. The team should however include an officer of the Internal Finance Wing of the department

Rule 221 Disposal at scrap value or by other modes.

If a Ministry or Department is unable to sell any surplus or obsolete or unserviceable item in spite of its attempts through advertised tender or auction, it may dispose of the same at its scrap value with the approval of the competent authority in consultation with Finance division. In case the Ministry or Department is unable to sell the item even at its scrap value, it may adopt any other mode of disposal including destruction of the item in an eco-friendly manner.

Rule 222 A sale account should be prepared for goods disposed of in Form GFR 11 duly signed by the officer who supervised the sale or auction.

Rule 223 (1) Powers to write off. All profits and losses due to revaluation, stock-taking or other causes shall be duly recorded and adjusted where necessary. Formal sanction of the competent authority shall be obtained in respect of losses, even though no formal correction or adjustment in government accounts is involved. Powers to write off of losses are available under the Delegation of Financial Powers Rules.

Rule 223 (2) Losses due to depreciation: Losses due to depreciation shall be analysed, and recorded under following heads, as applicable: -

- (i) normal fluctuation of market prices;
- (ii) normal wear and tear;
- (iii) lack of foresight in regulating purchases; and
- (iv) negligence after purchase.

Rule 221 (3) Losses not due to depreciation: Losses not due to depreciation shall be grouped under the following heads: -

- (i) losses due to theft or fraud;
- (ii) losses due to neglect;
- (iii) anticipated losses on account of obsolescence of stores or of purchases in excess of requirements;
- (iv) losses due to damage, and
- (v) losses due to extra ordinary situations under 'Force Majeure' conditions like fire, flood, enemy action, etc.